

impact will depend on what sectors will get affected and how stakeholders respond,” Goel says, adding that for many other economies, the possibility of a stronger dollar is worrying.

Asked if the broader market will continue to deliver and which sectors may show some momentum going ahead, Mehta of SBI Mutual Funds says equities will remain the best means to compound capital over the long term. “What occurs in the shorter term, as in just one calendar year, is uncer-

FII'S SOLD SHARES WORTH ₹1.15 LAKH CRORE IN OCTOBER AND NOVEMBER

24

tain and difficult to forecast. From a pure valuation and sentiment perspective, there appears to be much more froth in the broader markets, which can act as a headwind going forward,” Mehta says. He adds that companies exposed to the infrastructure and capex upcycle will benefit considering the current business environment.

He also sees potential for the consumer discretionary sectors such as tourism. Mehta also believes that the financial sector is likely to do well amid hopes that credit growth will pick up in the coming quarters on the back of improving economic growth and easier monetary conditions. **BT**

@iamrahuloberoi

START-UP FUNDING

TECH, SET, GO!

With up to 30 tech start-ups looking to go public, the year promises to be a turning point for India's thriving start-up ecosystem

BY PALAK AGARWAL

► **A HUM OF** optimism is audible in India's financial corridors. As the country edges closer to the \$4-trillion GDP mark, the revival of the Indian story is marked by investor confidence. In the past few years, India's capital markets have been charting an exceptional course.

But the star of the show has been the Indian start-up ecosystem, which has outpaced heavyweights like China and Germany in terms of funding. In 2024 alone, the tech start-up ecosystem birthed six new Unicorns, saw 13 initial public offerings (IPOs), and celebrated 113 acquisitions with \$11.3 billion raised, which was a 6% increase

from 2023. And the momentum doesn't appear to be slowing down.

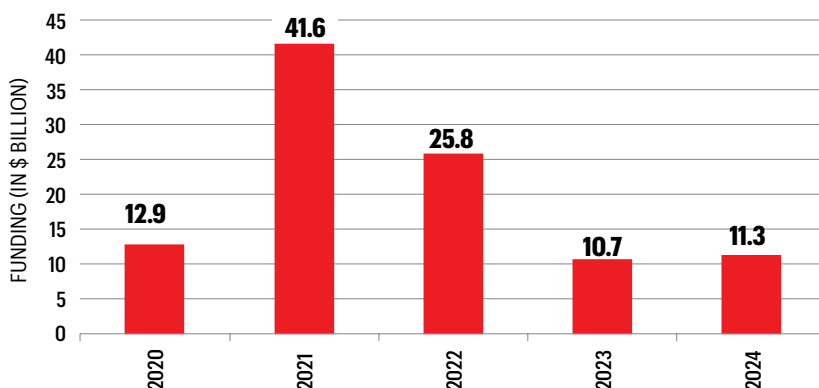
Industry insiders are predicting that there could be up to 30 more tech start-up IPOs in 2025.

“The public markets are performing exceptionally well,” Pranav Pai, Founding Partner and Chief Investment Officer at 3One4 Capital, an early-stage venture capital firm based in Bengaluru, tells *Business Today*. “Over this period, we've seen 34 VC-backed companies go public. These companies have generally been well-received, provided they are fundamentally strong and sensibly valued.”

Pai believes the Indian IPO

THE UPS AND DOWNS

● Since 2021, after the record-breaking year—which saw Indian start-ups raise over \$40 billion from across more than 1,000 deals, creating 42 new Unicorns—the pace of funding has cooled



SOURCE TRACXN